EAST AFRICAN CABLES PLC

East African Cables
Total peace of mind

CONSOLIDATED STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME FOR THE YEAR ENDED 31 DECEMBER 2023

	2023 KShs'000	2022 KShs'000
Revenue	2,524,553	2,605,761
Cost of sales	(1,854,293)	(1,918,999)
Gross profit	**670,260**	**686,762**
Other income	20,717	8,646
Factory expenses	(152,740)	(153,806)
Administrative expenses	(459,413)	(231,349)
Selling and distribution expenses	(98,546)	(81,238)
(Loss) / profit before depreciation, impairment and finance costs	**(19,722)**	**229,015**
Impairment writeback / (loss) on trade receivables and contract assets	2,423	(31,576)
Depreciation and amortisation	(194,385)	(222,251)
Results from operating activities	**(211,684)**	**(24,812)**
Interest (expense) / credit	(337,034)	(351,141)
Exchange gains	93,787	56,047
Net finance costs	(243,247)	(295,094)
Loss before income tax	**(454,931)**	**(319,906)**
Income tax (expense) / credit	153,054	(25,367)
Loss for the year	**(301,877)**	**(345,273)**
Other comprehensive income		
Items that will never be reclassified subsequently to profit or loss:		
Revaluation of property, plant and equipment	-	(183)
Revaluation of right of use assets	-	(31,436)
Deferred tax effect	-	9,486
	-	**(22,133)**
Items that are or may reclassified to profit or loss:		
Re-measurement gain / (loss) on retirement benefit plan	9,864	8,817
Deferred tax effect on remeasurement (gain) / loss	(2,959)	(2,645)
	6,905	**6,172**
Foreign currency translation differences on foreign operations	(47,984)	(28,254)
Total other comprehensive income	**(41,079)**	**(44,215)**
Total comprehensive income for the year	**(342,956)**	**(389,488)**
Loss for the year attributable to:		
Owners of the company	(205,621)	(258,256)
Non-controlling interest	(96,256)	(87,017)
	(301,877)	**(345,273)**
Total comprehensive income attributable to:		
Owners of the company	(226,109)	(305,151)
Non-controlling interest	(116,847)	(84,337)
	(342,956)	**(389,488)**
Basic and diluted earnings per share	**KShs (0.81)**	**KShs (1.02)**

CONSOLIDATED STATEMENT OF FINANCIAL POSITION AS AT 31 DECEMBER 2023

ASSETS	2023 KShs'000	2022 KShs'000
Non-current assets		
Property, plant and equipment	2,155,985	2,191,373
Right-of-use assets	2,081,084	1,989,950
Investment properties	259,216	220,169
	4,496,285	4,401,492
Current assets		
Inventories	441,076	347,731
Trade and other receivables	365,671	419,927
Current tax recoverable	-	59,723
Cash and cash equivalents	105,259	129,221
	912,006	956,602
TOTAL ASSETS	**5,408,291**	**5,358,094**
EQUITY AND LIABILITIES		
Capital and reserves		
Issued capital	126,563	126,563
Share premium	545	545
Revaluation reserve	2,023,209	2,023,209
Retained earnings	(1,460,785)	(1,260,654)
Foreign currency translation reserve	(149,702)	(123,724)
Total equity attributable to equity holders of the company	539,830	765,939
Non-controlling interest	(173,384)	(56,537)
Total equity	**366,446**	**709,402**
Non-current liabilities		
Bank loans and borrowings	320,633	1,315,229
Shareholders loan	867,880	723,832
Liability for staff gratuity	41,042	40,553
Deferred tax liability	262,695	367,848
	1,491,250	2,447,462
Current liabilities		
Trade and other payables	1,447,846	1,127,915
Short-term portion of bank loan	2,091,902	1,068,190
Current tax payable	4,974	-
Dividends payable	4,873	5,125
	3,549,595	2,201,230
TOTAL EQUITY AND LIABILITIES	**5,408,291**	**5,358,094**

The financial statements were approved and authorised for issue by the Board of Directors on 26 April 2024 and were signed on its behalf by:

P.T. Kanyago, *Director* **P. Muigai**, *Chief Executive Officer & Managing Director*

A full copy of the Group financial statements including explanatory notes is available from our website **www.eacables.com**

CONSOLIDATED STATEMENT OF CASH FLOWS FOR THE YEAR ENDED 31 DECEMBER 2023

	2023 KShs'000	2022 KShs'000
Cash generated from operations	**231,133**	**86,242**
Income taxes paid	(3,694)	(2,989)
Cash flows generated from operating activities	**227,484**	**83,253**
Cash flows from investing activities		
Purchase of property, plant and equipment	(3,913)	(4,719))
Sale of property, plant and equipment	-	106,610
Net cash generated from investing activities	**(3,913)**	**101,891**
Cash flows from financing activities		
Bank loans and borrowings received	-	80,281
Repayment of bank loans and borrowings	(77,019)	(83,357)
Interest paid	(170,262)	(149,003)
Dividends paid	(252)	(376)
Net cash used in financing activities	**(247,533)**	**(152,455)**
Net increase in cash and cash equivalents	**(23,962)**	**32,689**
Cash and cash equivalents at 1 January	129,221	96,532
Cash and cash equivalents at 31 December	**105,259**	**129,221**

SUMMARY DIRECTORS' REMUNERATION REPORT

During the year, directors remuneration (executive and non-executive) amounted to KShs 42.28 million (2022 – KShs 42.88 million).

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 31 DECEMBER 2023

2023:	Share capital KShs '000	Share premium KShs '000	Revaluation reserve KShs '000	Retained earnings KShs '000	Foreign currency translation reserve KShs'000	Total equity attributable to equity holders of company KShs'000	Non-controlling interest KShs'000	Total equity KShs'000
Balance at 1 January 2023	126,563	545	2,023,209	(1,260,654)	(123,724)	765,939	(56,537)	709,402
Loss for the year	-	-	-	(205,621)	-	(205,621)	(96,256)	(301,877)
Other comprehensive income								
Items that are or may be reclassified to profit or loss:								
Re-measurement gain on defined benefit plan	-	-	-	7,843	-	7,843	2,021	9,864
Deferred tax effect	-	-	-	(2,353)	-	(2,353)	(606)	(2,959)
Foreign currency translation differences on foreign operations	-	-	-	-	(25,978)	(25,978)	(22,006)	(47,984)
Total other comprehensive income	**-**	**-**	**-**	**5,490**	**(25,978)**	**(20,488)**	**(20,591)**	**(41,079)**
Total comprehensive income for the year	**-**	**-**	**-**	**(200,131)**	**(25,978)**	**(226,109)**	**(116,847)**	**(342,956)**
Balance at 31 December 2023	**126,563**	**545**	**2,023,209**	**(1,460,785)**	**(149,702)**	**539,830**	**(173,384)**	**366,446**
2022:								
Balance at 1 January 2022	126,563	545	2,045,342	(1,007,497)	(93,863)	1,071,090	27,800	1,098,890
Loss for the year	-	-	-	(258,256)	-	(258,256)	(87,017)	(345,273)
Other comprehensive income								
Items that are or may be reclassified to profit or loss:								
Re-measurement gain on defined benefit plan	-	-	-	7,284	-	7,284	1,533	8,817
Deferred tax effect	-	-	-	(2,185)	-	(2,185)	(460)	(2,645)
Foreign currency translation differences on foreign operations	-	-	-	-	(29,861)	(29,861)	1,607	(28,254)
	-	-	-	5,099	(29,861)	(24,762)	2,680	(22,082)
Items that will never be reclassified to profit or loss								
Revaluation of property, plant and equipment	-	-	(183)	-	-	(183)	-	(183)
Revaluation of prepaid operating lease	-	-	(31,436)	-	-	(31,436)	-	(31,436)
Deferred tax on revaluation surplus	-	-	9,486	-	-	9,486	-	9,486
	-	-	(22,133)	-	-	-	(22,133)	(22,133)
Total other comprehensive income	**-**	**-**	**(22,133)**	**5,099**	**(29,861)**	**(46,895)**	**2,680**	**(44,215)**
Total comprehensive income for the year	**-**	**-**	**(22,133)**	**(253,157)**	**(29,861)**	**(305,151)**	**(84,337)**	**(389,488)**
Balance at 31 December 2022	**126,563**	**545**	**2,023,209**	**(1,260,654)**	**(123,724)**	**765,939**	**(56,537)**	**709,402**

REPORT OF THE INDEPENDENT AUDITOR ON THE SUMMARY FINANCIAL STATEMENTS AND THE SUMMARY DIRECTORS' REMUNERATION REPORT TO THE MEMBERS OF EAST AFRICAN CABLES PLC

Opinion

The summary financial statements, which comprise the summary consolidated statement of financial position as at 31 December 2023, the summary consolidated statement of profit or loss and other comprehensive income, the summary consolidated statement of changes in equity and summary consolidated statement of cash flows for the year then ended, are derived from the audited financial statements of East African Cables Plc for the year ended 31 December 2023.

The summary directors' remuneration report is derived from the auditable part of the directors' remuneration report for the year ended 31 December 2023.

In our opinion, the accompanying summary financial statements and the summary directors' remuneration report are consistent, in all material respects, with the audited consolidated financial statements and the auditable part of the directors' remuneration report, in accordance with the Kenyan Companies Act, 2015.

Summary financial statements and summary directors' remuneration report

The summary financial statements do not contain all the disclosures required by the International Financial Reporting Standards and in the manner required by Kenyan Companies Act, 2015. In addition, the summary directors' remuneration report does not contain all the disclosures required by the Kenyan Companies Act, 2015. Reading the summary financial statements, the summary directors' remuneration report and the auditors' report thereon, is not a substitute for reading the audited consolidated financial statements, the directors' remuneration report and the auditors' report thereon.

The audited consolidated financial statements, directors' remuneration report and our report thereon

We expressed an unmodified audit opinion on the audited consolidated financial statements in our report dated 26 April 2024 and also confirm that the auditable part of the directors' remuneration report was prepared in accordance with the Kenyan Companies Act, 2015. That report also includes:

- A Material Uncertainty Related to Going Concern section that draws attention to Note 2(f) of the audited consolidated financial statements. Note 2(f) of the audited consolidated financial statements indicates that East African Cables Plc incurred a loss of KShs 300.67 million during the year ended 31 December 2023 and as of that date, the current liabilities exceeded current assets by KShs 2,637.59 million. These events or conditions, along with other matters as set forth in Note 2(f) of the audited consolidated financial statements, indicate that a material uncertainty exists that may cast significant doubt on East African Cables Plc's ability to continue as a going concern. These matters are addressed in Note 2(f) of the audited consolidated financial statements.
- The report also includes the communication of other key audit matters. Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the consolidated financial statements of the current period.

Directors' responsibility for the summary financial statements and summary directors' remuneration report

The directors are responsible for the preparation of the summary financial statements and the summary directors' remuneration report in accordance with the Kenyan Companies Act, 2015.

Auditors' responsibility

Our responsibility is to express an opinion on whether the summary financial statements are consistent, in all material respects, with the audited financial statements based on our procedures, which were conducted in accordance with International Standard on Auditing (ISA) 810 (Revised), Engagements to Report on Summary Financial Statements.

The engagement partner responsible for the audit resulting in this independent auditor's report is **CPA Elvis Ogeto – Practicing Number 2303**

For and on behalf of:
RSM Eastern Africa LLP
Certified Public Accountants,
Nairobi

Date: 26 April 2024

NOTES

Overview of 2023 performance

East African Cables PLC ("Group and Company") is pleased to release audited financial statements for the year ended 31st December 2023.

While Group revenue decreased by 3%, Company (Kenya) revenue grew by 5% supported by increased market drive, new products, and new market channels. Our Total Performance Management (TPM) program continues to yield fruits in delivering the right organization culture of cohesive and high-performance team. Expenses increased owing to legal costs, interest expenses and accruals for tax obligations in Tanzania thereby impacting on EBITDA and Earnings Before Tax.
The Group remains focused on growing a strong order pipeline and improving contribution from the exports market with great strides made in this area including product and market channel innovations to drive growth.

In the year under review, the Group and Company faced a major set-back when the primary lender appointed an Administrator. The Company obtained a Court injunction, and the matter is still in court awaiting determination. Despite the challenges faced in the 2nd half of the year, the Group demonstrated resilience and focus recording a reduction in loss and steadily growing revenues. The Group and company are focused on generating cashflows internally to improve performance, make the business financially sustainable and settle outstanding debt. To improve cashflows, the company is aggressively seeking to sell non-production assets in addition to divesting from the Tanzania Subsidiary to reduce liabilities.

Dividend

The directors do not recommend payment of a dividend.

Outlook

Since 2019, the business has recorded consistent improvement in performance thereby growing revenue organically and reducing losses year on year. The traction gained is a result of a clear focus on growing order pipeline through concerted commercial activities, efficient and lean operations, product innovation and market diversification. The 5-year strategy, which is under implementation, aims to align the business with the customer, market and technology developments and we are therefore confident that with the increased demand of our products and the growing construction sector in the region, the business will achieve full profitability in the medium term.

We therefore look forward with optimism to achieving our strategic milestones.

By Order of the Board
Virginia Ndunge
Company Secretary,
Nairobi

26th April 2024